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Abstract

To understand the bilateral relationship between China and Nepal, it is important to draw an example of the largest humanitarian assistance since 1949 and bilateral aid supported by China during and post-earthquake of Nepal in 2015. The paper uses various examples, quantifies aid accumulation and analyzes China's direct participation in foreign development investments, investments in trade and other socio-economic spheres in Nepal. Additionally, a brief historical account of the two nations' long-standing ties with continued BRI co-operation has been presented as a way to analyze Nepal's stronger ties with China and not India. Finally, the paper presents the negative impacts of the. Finally, the paper analyzes the negative effects of China led development and construction aids. The paper ends with a small summary.

Abbreviations and Acronyms

MOFA: Ministry of Foreign Affairs.

FDI: Foreign Development Investment.

UNDP: United Nations Development Project

OCHA: United Nations Office for Coordination of Humanitarian Affairs.

Introduction

The mutual relationship between Nepal and China runs far back during the time of princess Bhrikuti in the 7th century, Araniko in 13th century with scriptures suggesting that it strongly lasted as early as Licchavi dynasty in Nepal during 400-750 A.D and during the Tang dynasty. When we review this historical account the trans-Himalayan trade was significant in making continental trades that benefited many countries in South Asia and Central Asia (Sharma, 2018). Evidently in the modern times this informal bilateral relationship was formally codified as the two countries signed the agreement on 1st August 1995. The bilateral agreement was marked with three major important agendas: peaceful co-existence, co-operation, and respect for each other's sensitivity (MOFA, 2019). China continues to enhance its bilateral relationship by being an important development and trade partner assisting in the improvement of various development points in Nepal such as: socio-economic and cultural development, science and technology, trade and tourism, agriculture and other 31 running impact projects in the country directly uplifting the socio-economic status of many Nepalese (Dahal, n.d.). For the past 60 years China has been the biggest source of FDI and trade in Nepal with larger investment of 195.74 million US dollars in FDI in 2021-22 fiscal year against 188.45 million USD pledged. This accounts for a total of 76.47 percent of total FDI in Nepal for the whole 2021-22 fiscal year ("Committed Chinese investments", 2022).

Figure 1: FDI project share in Nepal 2019/20

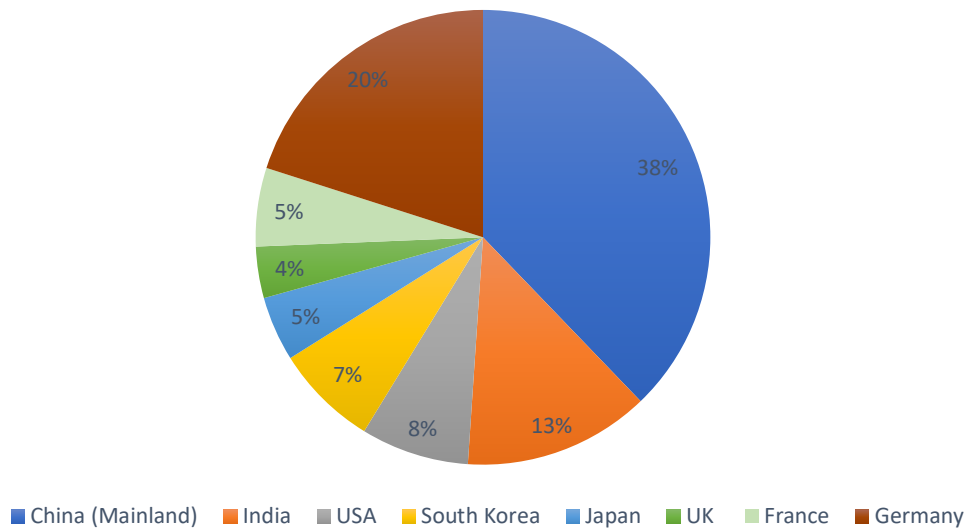
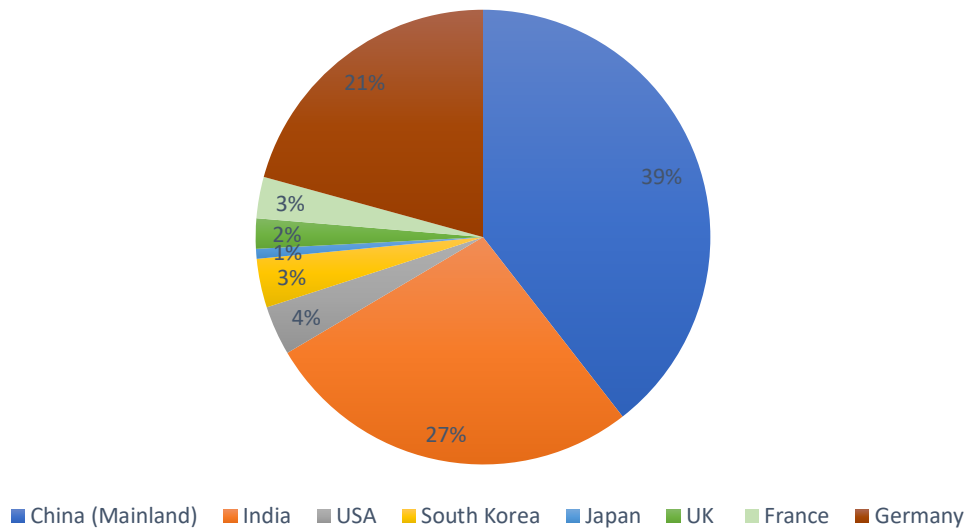


Figure 2: FDI volume share in Nepal 2019/20



Figures 1 & 2 source: The image was created from Kharel, D. R., Upadhyay, D. M., & Kharel, D. (2021, December). Nepal-China Bilateral Economic Cooperation Empowering Nepalese Economy. *Patan Pragya*, 9, 138. doi:<https://doi.org/10.3126/pragya.42031>

Both figure 1 and figure 2 shows that mainland China is the highest contributor of FDI in project wise and volume wise in Nepal whereas India ranks second.

China's humanitarian aid strategy in Nepal and across the world

China's blustorous showcase of bilateral relationship with Nepal to the world is its substantial growth of humanitarian aid and disaster relief programs as a part of its diplomatic strategies in the past decades. China's such diplomatic aid became profoundly visible only after 2010 as it historically only focused on uplifting the infrastructural, economic and technological demand of the country. After 2010 Nepal China's bilateral relationship took off as China focused more on providing aid for natural disasters together with economic development support (Lin, 2021). On the outer look this may seem like a help many Nepalese take for granted but China's radical shift in strategy by prioritizing humanitarian aid and relief constructions seems like an area of low sensitivity and little controversy for China to exert its soft power in Nepal.

One possible reason for increasing interests of China towards Nepal is the end of century long monarchical rule in 2006 and the Communist Party of Nepal (Maoist) coming into power through their first electoral victory in 2008. Nepal with its over reliance with the Indian economy wanted to gain autonomy and China seemed like an outlet for that problem considering China's overarching economic as well as geo-political interests and its BRI ambitions. Zooming out, in the international scope China has established itself as one of the largest non-OECD humanitarian aid providers in the world and increasingly led multilateral humanitarian operations across the world. Some examples of China's extensive aid responses have been the South Asian and African countries as its recipient: Haiti 2010 earthquake relief, Libya's refugee crisis in 2011, Ebola epidemic in West Africa in 2014 and flood relief programs in Sri Lanka in 2016/18 and earthquake

of Pakistan in 2005 (Lin, 2021). These examples directly show Chinese proclivity towards humanitarian diplomacy which has been an accepted framework to grow its state action, foreign policy and a soft power stand in world politics.

China's humanitarian diplomacy in conjunction with 2015 earthquake in Nepal

On April 25, 2015, 7.8 Richter Scale earthquake hit Nepal with the epicenter being Barpak, Gorkha. Another devastating earthquake with a similar scale struck the nation shortly after on May 12 which was 7.3 in magnitude. The aftermath of both of the destructive earthquakes caused exacerbated deaths of 3,500, loss of property and 8 million more affected; the country spiraled into destabilization (Chand, 2017). It was during this time the biggest solidarity and co-operation was shown by China with the short-term objective of reducing further casualties and long-term objective of re-construction. China let the *“largest ever humanitarian effort”* till date in Nepal that envisioned to reshape the country's financial and geo-political scenarios. For infrastructural repair and development efforts a total of RMB 4.7 billion (US\$ 480 million) was committed by Beijing. (Murton & Lord, 2019, p. 3).

China announced a sweeping emergency relief aid of \$3.2 million, with military inventories dispatched to carry out the humanitarian assistance, one of the largest military interventions for humanitarian aids since 1949. China has carried out numerous humanitarian aid, rescue and reconstruction project in developing nations across the world such as in the Indian Ocean Tsunami of 2004, Pakistan and Haiti earthquake in 2005 and 2011 respectively. But the level and complexity of these aid programs still remain incomparable comparison to what was committed by the Chinese government in Nepal. China's post-earthquake relief also set a record and new milestones in

humanitarian diplomacy. Within a week's time frame not only the government of China but also NGOs and in collaboration with international humanitarian organizations such as UNDP, OCHA distributed aids worth over US\$2 million. The mega earthquake in Nepal saw many novelties in humanitarian action some namely: effective troop mobilization, post disaster reconstruction and stakeholder diversification. China's humanitarian aid was not just limited to the immediate repatriation and crisis resolution in the wake of the mega-earthquake in 2015, their response to natural hazards in Nepal persists even today. China provided US\$4 million for the recovery of 30,000 households which were affected by floods in 2017 (Lin, 2021). In addition since 2014 there has been many large commitments and agreements signed between the two countries such as the US\$ 1.63 million aid for the development of northern districts. In 2015, on the occasion of 60 years of bilateral relationship between the two countries China committed US\$ 130 million for infrastructure development which was a fivefold increase in the annual grant assistance. (Murton & Lord, 2019).

Within the country itself these assistance were welcomed and accepted with open arms but still some skepticism persisted as to why China committed largely in emergency aid and continues to do so years after. One possible reason might be Nepal's strategic geo-political placement. It is unlikely that China would carry out humanitarian assistance of such a huge scale to other countries of African or Latin American descent which is locationally far away. Firstly, Nepal is physically close to China so larger aids are possible, not only to demonstrate monetary power but also to showcase its soft power. The second dimension is to achieve support and cooperation from resource rich Nepal in fulfilling China's BRI projects in the near future as there has been multiple criticisms with its side effects mainly pointed out such as debt trap being the most common one.

It is China's infrastructure and reconstruction driven foreign strategy to gain support from feeble nations who are physically close to China.

China committed to long term reconstruction and economic upliftment initiatives not just limited to solving immediate crisis but took the stay and help approach. China has aided in building critical infrastructures in the country such as: airports, schools, hospitals, schools, roads as a part of Nepal's post disaster economic recovery. China has committed itself to more than 25 reconstruction projects in five major sectors namely: people's livelihood rebuilding, archeological heritage renovation, infrastructure, disaster preparedness and health and well-being. Evidently 12 of the commenced projects have been completed whereas 13 of them are still underway. (China-Aid post quake, n.d)

Unofficial blockade by India and rise of China-Nepal relationship

It is a universal fact that Nepal relied heavily with India in terms of oil, food materials and other life sentence materials as Nepal was trying to recover from the previous earthquake in August of 2015, Nepal-India border was shut down marking an unofficial blockade to go into effect for the next four months (Murton & Lord, 2019, p.8). This virtually shut down the inflow of goods and materials which previously made its way inside the country through the open borders. The shutting down of legal commerce for four months paralyzed the economy, created fuel crisis in the country and made the lives of normal Nepalese unbearable. The reason given by the Indian side as for the unofficial blockade was implementation of seven recommended amendments in the newly formed constitution in Nepal and they were: 1) Article 63 (3) there should be electoral constituencies proportional to the size of the population and political representation should be accessed by the population of that state. 2) Article 154 should state the time frame for delineation of constituencies

is 10 years rather than existing 20 years. 3) Article 11(6) accession of naturalized citizenship can be made automatic (Singh, 2016). These recommendations made by the government of India was hugely criticized firstly, for using hard power to interfere in the internal matters of the nation and that too, the sensitive changing of constitution at the convenience of Indian foreign play. Secondly, there were huge protests created by the political leaders in the southern part of the country where people supported India's decision of interference which was directly perceived by the state government as a separatist's movement. Similarly, the tension rose when India demanded the clause of naturalized citizenship, this caused a rampant fear that Indian citizens living in the southern borders could easily apply for Nepalese citizenship without any investigation and that would create a security threat to the country.

The unofficial blockade, though criticized in the international arena, meant different things for both India and China. For India it meant a direct interference in the internal matters of a country and that too by using a bully method of barring life sustaining materials in the country when it was going through a humanitarian crisis. But for China it was an opportunity to celebrate the newly formed constitution and exert soft power through aid and development initiatives. The Chinese government helped deliver petroleum to Nepal through the highway of Kyirong-Rasuwa in the midst of southern border blockade. China's action created a symbolic and geo-political significance reinforcing that China was a true neighbor, less of a bully and more reliable than India. This strategy posed a success because since then it created a rift between the Nepal-India relationship as Nepal relies more and more on China mainly for its non-interference policy in place.

Nepal and possibilities of Chinese led BRI projects

The unofficial blockade and in turn the aftermath of fuel crisis exacerbated the systemic vulnerabilities that Nepal had and was a wakeup call to the countries representatives that there need be a prompted action from its government to be self-reliant and or energy sufficient. This prompted their focus on the rapid growth, development of hydroelectricity and China's willingness to build sustaining infrastructure as its foreign policy strategies. Good bilateral relationship opened numerous doors and pathways for BRI investors and hydro-power firms and Nepal officially signed China's BRI project in May 2017, creating 9 different BRI projects that can be feasibly built.

Hence, prominently China's two most important humanitarian aid –2015 earthquake and fuel crisis created new avenues for strengthening two country's relationship. Nepal acts like a power corridor both in energy resources and road connectivity to the larger BRI project and the government of Nepal has profoundly shown its interests in building Nepal-China road corridors as well as building hydropower projects to support the local economies. Under the economic support there is a probable possibility of a train track running between Nepal and China covering the Qinghai-Tibet and reaches Kyirong in 2022-23. The glorified train will serve as a '*national liberation project*' securing the sovereignty of many Nepalese and enhancing economic development (Murton & Lord, 2019, p. 9).

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assistance. The BRI objectives of China can be classified mainly into three different categories: first one is to develop strong economic and political ties with Nepal and diminish any dependence with India. Second, is to establish Nepal as a corridor and a transit as a commerce hub between the South Asian nations. Third to become a harmonious global hegemon China needs to strengthen its bilateral relationships and trust among its periphery (Gokhale, 2021).

Negative impacts of the bilateral aids of China to Nepal

The purpose of BRI and or other humanitarian or development aid is to make Nepal sustain and much more economically advanced but these collaborations show asymmetries both in political sphere and in development capacities, with China wielding the resources and not Nepal. An example of such disproportionalities can be seen in the border of Rasuwa where one can see a towering customs facility on the Chinese side and a very humble apparatus set up by the Nepalese government on the other end. Similarly the construction of a \$200million domestic dry-port in Kyirong provides a stark reality of the demonstration of power imbalances between the two countries. (Murton& Lord, 2019)

As exciting as the thought of a trans-Himalayas train being built that bridges the gap between Nepal and China and to most South Asian countries is, there is also an impending question about China's export to Nepal through that train line. Will this line behave as an alternative to food and fuel resources to reduce Nepal's dependence with India? if it is such a case then the ambition of the project is far too high considering the expense of the project and geographical feasibility. The development aids and constructions that started in Nepal has come under a lot of fire for being painfully slow and not meeting the expectations of the Nepalese people. An extra layer to the slow

progress might be the construction difficulties due to rough terrain and the incompetence of the Nepalese government.

Another impact of rampant bilateral aid is in the construction sector where rebuilding the culturally significant artifacts posed serious issues. Majority reconstruction of the destroyed historical artifacts have been contracted to Chinese construction companies who know very little about the historical and archeological significance who will build them haphazardly in their own way with little or no consideration at all, leaving a burden of lost architectural rich history of Nepal that dates back thousands of years. There is a public outcry that many of the reconstruction sites in Kathmandu Durbar Square has been draped in Chinese flags with Chinese words written on them. Durbar High School built under the aid of Chinese government has mandated a compulsory mandarin language course to its students raises a soft power assertion question and exposes Nepalese government's inefficiencies and its unconditional commitment to China aid and BRI. The fear of loosing Kathmandu's heritage day by day to Chinese authorities as they come in and bulldoze their style of urbanization in Nepal in the name of reconstruction, humanitarian aid and economic or infrastructural development is very real.

China had been welcomed in Nepal for its non-interference policy unlike India but its soft power exertion through development aids such as hydroelectricity, construction of roads, BRI railways slowly and steadily encroach Nepalese land, culture and the way of life. Building smart cities at the cost of indigenous lands and destroying historical settlements. Where will this ever end? As the famous quotation that many Nepali often use: विकासको नाममा जेपनि गर्दै भो [“Anything can be done in the name of development”] is the general sentiment of the general public towards China. They feel helpless in this matter as the development they are experiencing from China is on borrowed

resources and it is understandable that any help that comes free of cost has multiple strings attached. (Apostolopoulou & Pant 2022)

Conclusion

The bilateral relationship between China and Nepal reached a new height with a staggering amount of humanitarian and economic development aids provided by China to Nepal, this in itself is a different strategy that China has adopted for the first time. Nepal being a disaster-prone country but also because of its close proximity with China makes it possible for China to carry out these huge ambitious projects that aids to the country's ailing conditions with the ongoing political instabilities. The complicated bilateral relationship between Nepal and China at a surficial level looks like a win-win situation for both the countries. For Nepal its economic growth and for China it is reimagination of itself as a benevolent neighbor. But on the deeper level: firstly, Nepal's easy-going attitude and acceptance of any help offered makes Nepal even more reliant with China. The main reason for extending the relationship with China was to establish Nepal as a self-sustaining nation out of influence from any other growing superpower nations in the world but this trend simply suggests the shift of dependence from previously India and now to China. The second is: Nepal can just be a corridor for China to assert its soft power in the South Asian nations and a resource reservoir for China to fulfill its BRI project with unwarranted restrictions.

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